

Mindmap

The Essentials of Partnership Accounting: A Comprehensive Guide

PARTNERSHIP FUNDAMENTALS & THE DEED



Defining the Partnership Firm

A partnership is a relation between 2 to 50 persons who agree to share profit of a lawful business carried on by all or any one of them acting for all.



The Power of the Partnership Deed

While a written agreement (deed) is not compulsory, it is highly recommended to present future disputes and must be stamped per the Indian Stamp Act.



Registration is Optional

Firm registration is not mandatory, though registered firms enjoy specific legal benefits not available to unregistered entities.

RULES IN THE ABSENCE OF A DEED



6% Interest on Partner Loans

If the deed is silent, partners are entitled to interest on loans advanced to the firm at a fixed rate of 6% per annum.



Equal Profit & Loss Sharing

Regardless of capital contribution, profits and losses must be shared equally among all partners if no specific ratio is agreed upon.



No Salary or Interest on Capital

In the absence of a deed, partners cannot claim salary, commission, or interest on their capital contributions, and no interest is charged on drawings.

ADVANCED ADJUSTMENTS & GUARANTEES



RECTIFYING PAST ERRORS

Errors in interest or salary discovered after closing books are corrected via a "Dining Partner Dr. to Loxing Partner Cr." adjustment entry.



MINIMUM PROFIT GUARANTEE

A partner may be guaranteed a minimum profit amount, any shortfall is covered by the other partners in an agreed ratio or by the firm.



Manager to Partner Transition

When a manager becomes a partner retrospectively, their previous salary is canceled and replaced with partner-based profit sharing and interest.



PARTNERSHIP FUNDAMENTALS & THE DEED

MAINTAINING CAPITAL ACCOUNTS

FIXED CAPITAL METHOD



Two accounts are maintained: a "Capital Account" for permanent investments and a "Current Account" for routine adjustments like salary and interest.

FLUCTUATING CAPITAL METHOD



Only one account is maintained per partner, where all transactions (capital, interest, drawings, and profits) are recorded together.

AVERAGE PERIOD FOR IDD FORMULA

	Beginning	Middle	End
Monthly (Full Year)	6.5 Months	6.0 Months	5.5 Months
Monthly (Half Year)	3.5 Months	3.0 Months	2.5 Months
Quarterly	7.5 Months	6.0 Months	4.5 Months

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PROFIT & LOSS ACCOUNT (Net Profit/Loss)

PROFIT DISTRIBUTION & APPROPRIATION

CHARGE AGAINST PROFIT (Expenses)

Charges (like rent or loan interest) are expenses deducted even if there is a loss, while appropriations (like partner salary) are only distributed from available profits.



Rent & Loan Interest are Charges

Even if paid to a partner, rent for premises or interest on loans are debited to the P&L Account, not the Appropriation Account.

APPROPRIATION OF PROFIT



The P&L Appropriation Account

This account is prepared after the P&L Account to show how net profit is distributed among partners according to the deed's resolutions.

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Goodwill: Understanding the 'Invisible' Value of Business

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THE NATURE OF GOODWILL

An Intangible Asset for Growth



Goodwill

Goodwill is an intangible asset that contributes to business growth and drives profits higher than the industry counterparts.

Two Proofs of Goodwill Presence



It is evidenced when a business earns higher returns on the same capital as others, or equal returns using less capital investment.

The Attractive Force which brings in Customers

"Lord Macnaghten describes it as the benefit of a good name and reputation that distinguishes an old business from a new one."

DRIVERS OF VALUE



Management Efficiency & Intellectual Property



Competent management and exclusive rights like trademarks, patents, and designs significantly enhance a firm's goodwill value.



Performance & Social Responsibility



Past business performance, CSR programs, and positive labor relations contribute to the long-term creation of goodwill.

Strategic Location & Market Conditions



Favorable physical placement and market scenarios of high demand with low supply lead to higher profits and increased goodwill.

THE ACCOUNTING DIVIDE (AS-26)



Purchased Goodwill

Arises from acquiring another business at a premium.

The Recording Rule (AS-26):

Only purchased goodwill—where money has changed hands—is recorded in books; self-generated goodwill is excluded.



Self-Generated Goodwill

Internal result of years of customer satisfaction.



THE VALUATION TOOLKIT & METHODS



Capital Employed
(Total Assets - Fictitious Assets - Non-Trade Investments - Outside Liabilities)

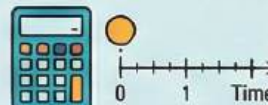


Normal Rate of Return (NRR)
(expected profit percentage here for industry)



Super Profits (SP)
(Average Profits - Normal Profits)

Average Profits Method



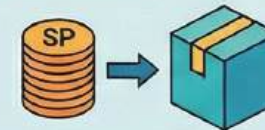
$\text{Goodwill} = \text{Average Profits} \times \text{Number of Years' Purchase}$

Super Profits Method



$\text{Goodwill} = \text{Super Profits} \times \text{Number of Years' Purchase}$

Capitalization of Super Profits



$\text{Goodwill} = \frac{\text{Super Profits} \times 100}{\text{Normal Rate of Return (NRR)}}$

Capitalization of Average Profits

$\text{Goodwill} = \text{Estimated Capital Employed} - \text{Actual Capital Employed}$

$\text{Estimated Cap} = \frac{[\text{Average Profit} \times 100]}{\text{NRR}}$

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Mastering Change in Profit Sharing Ratio: A Guide to Partnership Reconstitution

Triggers for When Reconstitution Occurs



The PSR Change Scenario



Step 1—Determining Sacrificing and Gaining Ratios

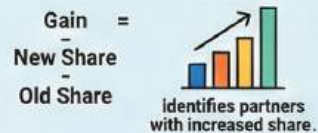
The "Old" vs. "New" Ratio



Calculate the Sacrifice



Calculate the Gain



Step 2—Accounting Treatment for Goodwill



The Compensation Principle

Gaining partner compensates sacrificing partner via proportionate goodwill based on share gained.

Compensation Formula:

$$\text{Amount Payable} = \text{Value of Firm's Goodwill} \times \text{Share of Profit Gained}$$

Adjustment Entry

Debit +	Credit -
Gaining Partner's Capital/Current Account	Sacrificing Partner's Capital/Current Account

Step 3—Handling Reserves and Accumulated Profits

Method A: Reserves NOT shown in future Balance Sheet



?

Method A: Reserves NOT shown in future Balance Sheet



Distribute to existing partners in Old Ratio and remove from books.

Method B: Reserves ARE shown in future Balance Sheet



Assets remain at book value; gaining partner compensates for net effect via single adjustment entry.

Step 4—Revaluation of Assets and Liabilities

Why Revalue?
Ensures no partner is unfairly advantaged by prior changes in asset value.

Option 1: Revaluation Account

Dr.	Revaluation Account	Cr.
Decrease in Asset Value	Increase in Asset Value	
Increase in Liability Value	Decrease in Liability Value	
Unrecorded Liabilities	Unrecorded Assets	
Profit (Transferred to Partners in Old PSR)	Loss (Transferred to Partners in Old PSR)	

Used when revised values are recorded; profits/losses distributed in Old PSR.

Option 2: Memorandum Revaluation Account

Dr.	Revaluation Account	Cr.
Decrease in Asset Value	Increase in Asset Value	
Increase in Liability Value	Decrease in Liability Value	
Unrecorded Liabilities	Unrecorded Assets	

Part 2: Reverse in New PSR to nullify affect on book values

Loss (Transferred to Partners in New PSR)	Profit (Transferred to Partners in New PSR)
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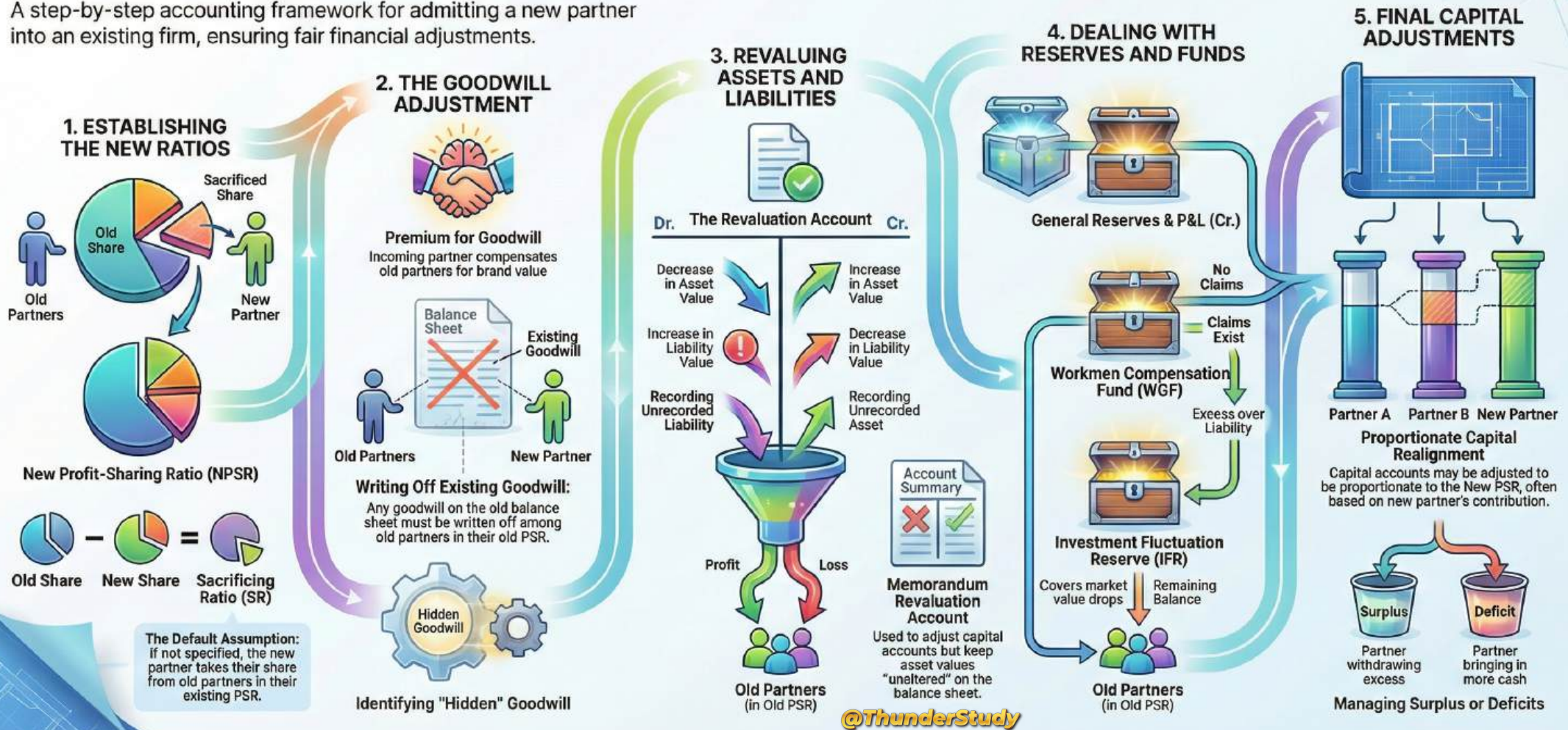
Used when revised values are not recorded; two parts for distribution and reversal.

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The Partner Admission Playbook: A Guide to Reconstituting a Partnership

A step-by-step accounting framework for admitting a new partner into an existing firm, ensuring fair financial adjustments.



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The Partner's Exit Roadmap: Accounting for Retirement and Death

Phase 1 - Redefining the Partnership



Calculate New Profit-Sharing and Gaining Ratios

$$[\text{Old Share}] + [\text{Gained Share}] = [\text{New Share}]$$

$$[\text{New Share}] - [\text{Old Share}] = [\text{Gaining Ratio}]$$

Gaining Ratio: Ratio in which remaining partners acquire the share of the retiring/deceased partner.

Consent and Notice Requirements



Consent of all partners



Existing agreement



Written notice ("at will")

Phase 2 - Valuation Adjustments



Revaluation of Assets and Liabilities

Partners open "Revaluation Account" to adjust book values to current market values; profit/loss shared by all old partners in old ratio.

Revaluation vs. Memorandum Revaluation



Adjusts capital accounts AND alters Balance Sheet values.



Adjusts capital accounts WITHOUT altering Balance Sheet values.

THE REVALUATION FRAMEWORK

Event	Account Treatment	Impact on Capital
Increase in Asset Value	Credit Revaluation A/c	Increases Partner Capital +
Decrease in Asset Value	Debit Revaluation A/c	Decreases Partner Capital -
Unrecorded Liability Found	Debit Revaluation A/c	Decreases Partner Capital -
Decrease in Liability Value	Credit Revaluation A/c	Increases Partner Capital +



Treatment of Goodwill

Retiring partner compensated for goodwill by remaining partners through "Capital to Capital" entry (Gaining Partners Dr. to Retiring Partner Cr.).

Hidden or Inferred Goodwill: Amount paid in excess of actual adjusted capital balance in full settlement.

Phase 3 - Settlement of Dues

Distribution of Accumulated Reserves



General reserves, P&L balances, and Workmen Compensation funds distributed to all old partners in old ratio.

Computing the Final Amount Due



Opening Capital
+ Share of Revaluation Profit/Loss
+ Goodwill
+ Salary/Interest due up to exit date

= Final Balance

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Death vs. Retirement Timing

Retirement



Usually happens at year-end.

Death



Requires calculating "intervening profits" from last balance sheet to date of death using time/sales bases.

Phase 4 - Legal Safeguards (Section 37)



The 6% Interest Rule

Under Section 37 of the Indian Partnership Act 1932, an outgoing partner is entitled to 6% per annum interest on any unpaid amount.

Choice of Compensation



OR



Outgoing partner or executor can choose between the 6% interest OR a share of profits proportionate to their outstanding amount.

Settlement Methods



Dues can be paid in a single lump sum or transferred to a Loan Account to be paid in installments with or without interest.

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Partnership vs. Firm Dissolution: The Ultimate Accounting Roadmap

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PARTNERSHIP VS. FIRM: KNOWING THE DIFFERENCE



DISSOLUTION OF PARTNERSHIP

Refers only to the change in the relationship among partners (e.g., admission, retirement, or death); the business itself continues to operate.

BOOKS OF ACCOUNT STATUS
Books remain open with revealed figures.



DISSOLUTION OF FIRM

The business entity stops operating entirely; this process automatically results in the dissolution of the partnership.

BOOKS OF ACCOUNT STATUS
All books are permanently closed.

HOW A FIRM DISSOLVES



DISSOLUTION BY AGREEMENT

Occurs with the consent of all partners or according to a pre-existing contract.



DISSOLUTION BY NOTICE

In "partnership at will," any single partner can dissolve the firm by giving written notice of their intention.



COMPULSORY DISSOLUTION

Triggered if the business becomes illegal or if all partners (or all but one) become insolvent.



COURT-ORDERED DISSOLUTION

A court may intervene if a partner becomes insane, permanently incapable, or guilty of misconduct that harms the business.

THE 5-STEP ACCOUNTING PROCEDURE



1. IDENTIFY RATIOS

Determine the Profit-Sharing Ratio (PSR) or Capital-Sharing Ratio (CSR) among all partners for final distributions.



2. ADJUST RESERVES & SURPLUS

Transfer any accumulated reserves, profits, or losses directly to partners' capital accounts in their PSR.



4. SETTLE PARTNER LOANS

Partner loans must be paid in cash after external liabilities but before any capital repayment is made.

3. PREPARE REALISATION ACCOUNT



DEBIT	CREDIT
Transfer Assets	→ Realisation A/c
Transfer Liabilities	→ Liabilities A/c
Sale of Assets	→ Cash/Bank A/c
Asset taken by Partner	→ Partner Capital A/c
Payment of Liabilities	→ Realisation A/c
Realisation Expenses	→ Cash/Bank A/c

CALCULATE NET PROFIT/LOSS ON REALISATION

TECHNICAL RULES FOR ASSET & LIABILITY REALISATION

- TANGIBLE ASSETS**
If no value provided, assume realized at Bank Value.
- INTANGIBLE ASSETS**
If no value provided to go, Goodwill, assume 10% realisation value.
- TREATMENT OF LIABILITIES**
If no settlement info, assume paid in full at Cash value.



Partner loans must be paid in cash after external liabilities but before any capital repayment is made.



5. CLOSE CASH/BANK ACCOUNT

Make final payments to partners' capital accounts; the cash account must naturally tally to zero.

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Demystifying Company Share Capital: A Comprehensive Guide



What is a Company?

An artificial person created by law with a separate legal entity, perpetual succession, and a common seal

Core Features of a Company

Voluntary association, separate legal status, limited liability for members, transferability of shares



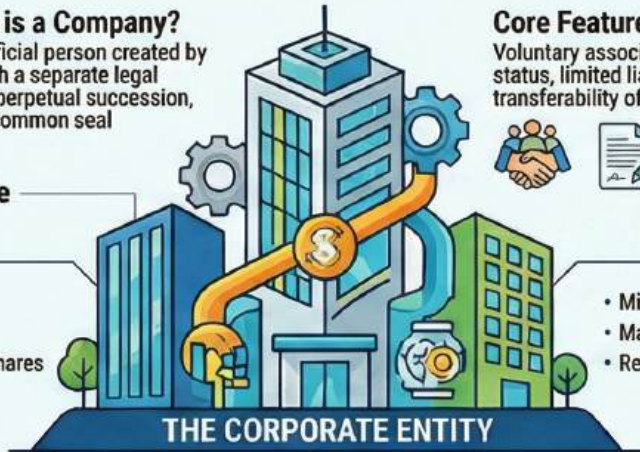
Public vs. Private Companies

PUBLIC

- Min. Capital: ₹5 lac
- Unlimited members
- Freely transferable shares

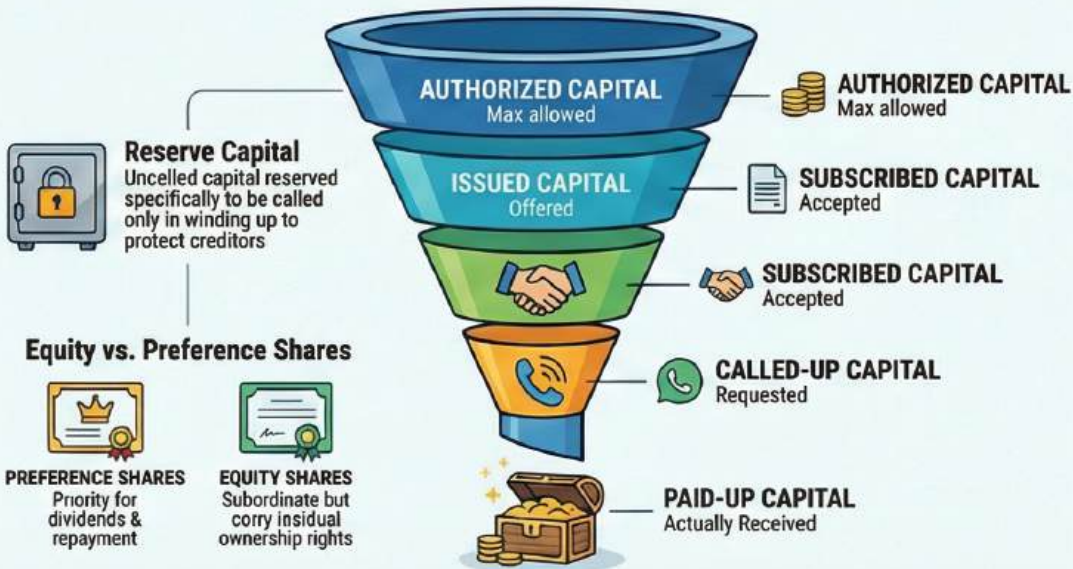
PRIVATE

- Min. Capital: ₹1 lac
- Max. members: 200
- Restricted transferability



THE CORPORATE ENTITY

THE HIERARCHY OF SHARE CAPITAL



Public

- Min. Capital: ₹5 lac
- Unlimited members
- Freely transferable shares

Equity vs. Preference Shares



PREFERENCE SHARES
Priority for dividends & repayment



EQUITY SHARES
Subordinate but carry residual ownership rights

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THE LIFECYCLE OF A SHARE ISSUE



Stage 1: The Prospectus
Company issues prospectus to invite public subscription for shares at a set price



Stage 2: Application
Public submits applications along with required application money



Stage 3: Allotment
Shares allotted (subject to min. subscription), share certificates issued



Stage 4: Calls on Shares
Remaining share value called up in installments as funds are needed

MARKET RESPONSES & PRICING



The 90% Subscription Rule
Cannot proceed with allotment unless at least 90% of the issue is subscribed



Over-subscription Strategies
When demand exceeds supply, use Pro-rata allotment or rejection



Interest on Arrears and Advances
Under Table F: 10% p.a. on "Calls in Arrears", 12% p.a. on "Calls in Advance"

FORFEITURE, REISSUE, AND ESOPS



Forfeiture of Shares
Shareholder default on calls, company cancels shares & forfeits paid amount



Reissue at a Discount
Forfeited shares reissued at a discount, not exceeding amount forfeited



ESOP (Employee Stock Option Plan)
Employees purchase shares at lower than market value, involves "Vesting Period" of at least one year

Uses of Securities Premium (Section 52)



BONUS SHARES
Issuing fully paid bonus shares to members.



WRITE-OFFS
Clearing preliminary expenses or commission/discount on issue.



REDEMPTIONS
Paying premium on redemption of preference shares or debentures.



BUY-BACKS
Purchasing the company's own shares.

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DEMYSTIFYING DEBENTURES:

A Guide to Corporate Debt Instruments

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FOUNDATIONS OF DEBENTURES

What is a Debenture?

A written instrument acknowledging a debt, containing provisions for repayment of principal and interest at a fixed rate, as defined by Sec 2(30) of the Companies Act, 2013.



Debt vs. Equity

Unlike shares, which represent ownership, debentures represent a loan to the company and constitute a liability rather than capital.

DEBENTURES VS. SHARES: KEY DIFFERENCES

SHARES		DEBENTURES	
Purpose: Fundamental differences in rights, rewards, and priorities.			
Owned capital		Nature	 Borrowed loan
Dividend (from profits)		Reward	 Interest (charge against profit)
Generally carries voting rights		Voting Rights	 No voting rights
Paid after debentures		Priority on Winding Up	 Paid before share capital
Not secured by a charge		Security	 Often secured by a charge on assets

THE CLASSIFICATION MATRIX

By Security & Tenure



Unsecured, Fully Secured, or Partly Secured



Redeemable (repaid after a term) or irredeemable

By Convertibility & Mode



Convertible (Fully or Partly into shares) and Non-convertible options



Registered or Bearer debentures based on record-keeping



By Coupon Rate



Fixed or Floating based on the terms of the issue



Issuance for Cash

Entries similar to share capital.



Consideration Other Than Cash

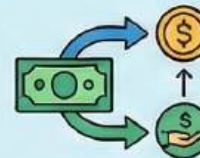
Issued to vendors for assets or entire businesses; number calculated by amount payable / issue price.



Collateral Security

Additional security to a lender; interest paid only on loan amount, unless default occurs.

ISSUANCE SCENARIOS & ACCOUNTING & LOSS MANAGEMENT



Interest on Debentures

A charge against profits (payable even during losses), subject to TDS, usually paid half-yearly.



Writing Off Capital Losses

Discounts or losses on issue must be written off in the year of issue using a specific hierarchy.



Default Procedures

Upon loan default, lenders can recover dues by selling primary security or by redeeming collateral

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The Blueprint of Business: Understanding Company Financial Statements

OBJECTIVES AND STAKEHOLDERS



The Primary Purpose
To provide a true and fair view of the business while offering useful information for predicting and evaluating economic results.



Internal Users
Owners (risk assessment), Management (planning, control), and Employee (satisfaction and profit-sharing schemes).

External Users
A broad group including Creditors, Potential Investors, Government (taxation), Consumers (price monitoring), and Stock Exchanges.

THE BALANCE SHEET FRAMEWORK (SCHEDULE III)

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FINANCIAL STATEMENT ANALYSIS & TOOLS



Analysis
Simplifies and classifies financial data



Interpretation
Explains the meaning and significance of that data.

Horizontal vs. Vertical Analysis



Horizontal (Dynamic)
Reviews data across multiple years to see trends.



Vertical (Static)
Analyzes a single year's data (e.g., Ratio Analysis).

Essential Analytical Tools



Comparative Statements
(year over year & change)

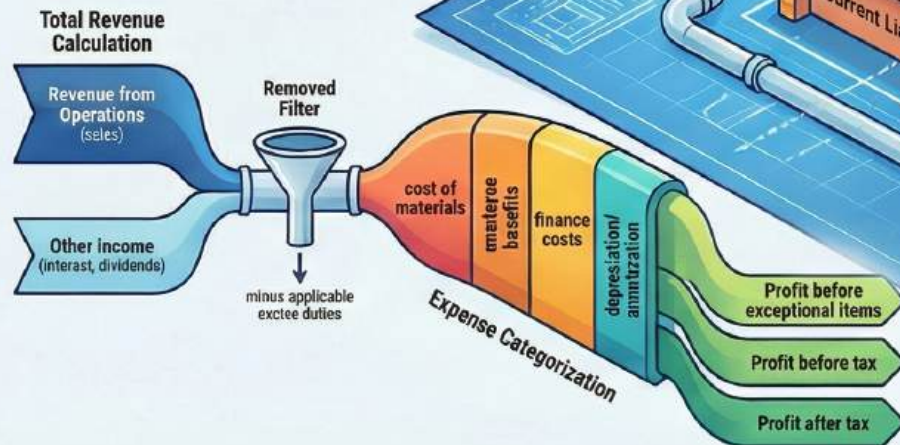


Common Size Statements
(using a base of 100)



Trend Analysis

THE INCOME STATEMENT (PROFIT & LOSS)



The Operating Cycle Rule
If liability or asset is "12 month" is settled/entirely within the normal operating cycle or 12 months, otherwise, it's "current".

CONTINGENT LIABILITIES

Potential obligations that may arise from past events (if disputed claims are shown or recognized rather than added to the balance sheet totals).

CRITICAL LIMITATIONS



Historical Cost Dilemma
Values reflect past costs and do not account for inflation or current market fluctuations.



Lack of Qualitative Data
Statements omit vital non-monetary information such as labor relations, management quality, and industrial climate.



Personal Judgment
Financial results can be influenced by the personal bias and specific accounting conventions chosen by the accountant.

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Financial Statement Analysis: Mastering Comparative & Common Size Statements

COMPARATIVE STATEMENTS (HORIZONTAL ANALYSIS)

Cross-Period Comparison

These statements show the financial position of a firm for different periods to identify trends and directions in performance indicators.

Absolute Change Calculation

$$\text{Current Year (CY)} - \text{Previous Year (PY)}$$

[+/-]

negative amounts
in brackets

Relative Change Percentage

$$\left(\frac{\text{Absolute Change}}{\text{Previous Year}} \right) \times 100$$



Trend Identification

By analyzing data horizontally, firms can determine if their financial health is improving or declining relative to their own past performance.



HOW TO PREPARE: STEP-BY-STEP

Format Standardization

Re-write the Balance Sheet or Income Statement for two periods in the same format, adding columns for analysis.

Choose Your Analysis Column

For Comparative statements, add 'Absolute and Relative change'; for Common Size, add 'Percentage Figures' columns for each year.

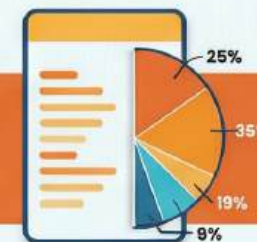
Compute the Values

Calculate the difference for Comparative analysis or the percentage of the common base for Common Size analysis for every line item.

COMMON SIZE STATEMENTS (VERTICAL ANALYSIS)

Component Percentage Statements

These statements express each financial item as a percentage of a common base, allowing for easy comparison regardless of firm size.



Standardized Base 100

Balance Sheets



Total Assets/
Liabilities

Income Statements



Total Sales
Revenue

Base = 100%

Balance Sheet



Structural Insight

An example is showing the percentage of each individual asset (like cash or inventory) relative to the total assets of the company.



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Inter-firm Comparability

This analysis is of immense use for comparing enterprises that differ substantially in size by focusing on financial structure rather than absolute numbers.

Particulars	FY 2022-24 (i)	FY 2022-24 (i)	Absolute Change (h + i - j)	Relative Change ((i + h) / j) * 100
Revenue from Operat	XXX	XXX	XXXX	XXX
Other Incomes	XXX	XXX	XXXX	XXX
Total Revenue	XXX	XXX	XXXX	XXX
Total Expenses	XXX	XXX	XXXX	XXX
Profit Before Tax	XXX	XXX	XXXX	XXX
Tax Expense	XXX	XXX	XXXX	XXX
Profit After Tax	XXX	XXX	XXXX	XXX

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Financial Ratio Analysis: The Blueprint for Business Health

Strategic Fundamentals & Limitations



Simplification for Decision Making

Ratios convert complex financial data into meaningful relationships used for management assessments.



Limitations of Accounting Data

Ratios are only as accurate as the underlying facts, estimates, and assumptions



A Means, Not an End

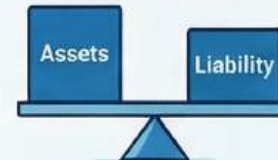
Ratios indicate business health but are not the final decision-making factor

Essential Performance Metrics

Liquidity & Solvency Benchmarks

Current Ratio

2:1



Ideal Benchmark / Significance
(Current Assets / Current Liabilities)

Liquidity

Debt-Equity Ratio

2:1



Ideal Benchmark / Significance
(Long-term Debt / Shareholders' Equity)

Measuring Operational Efficiency



Inventory Turnover
(COGS / Average Inventory)

Higher = Faster Sales

Performance



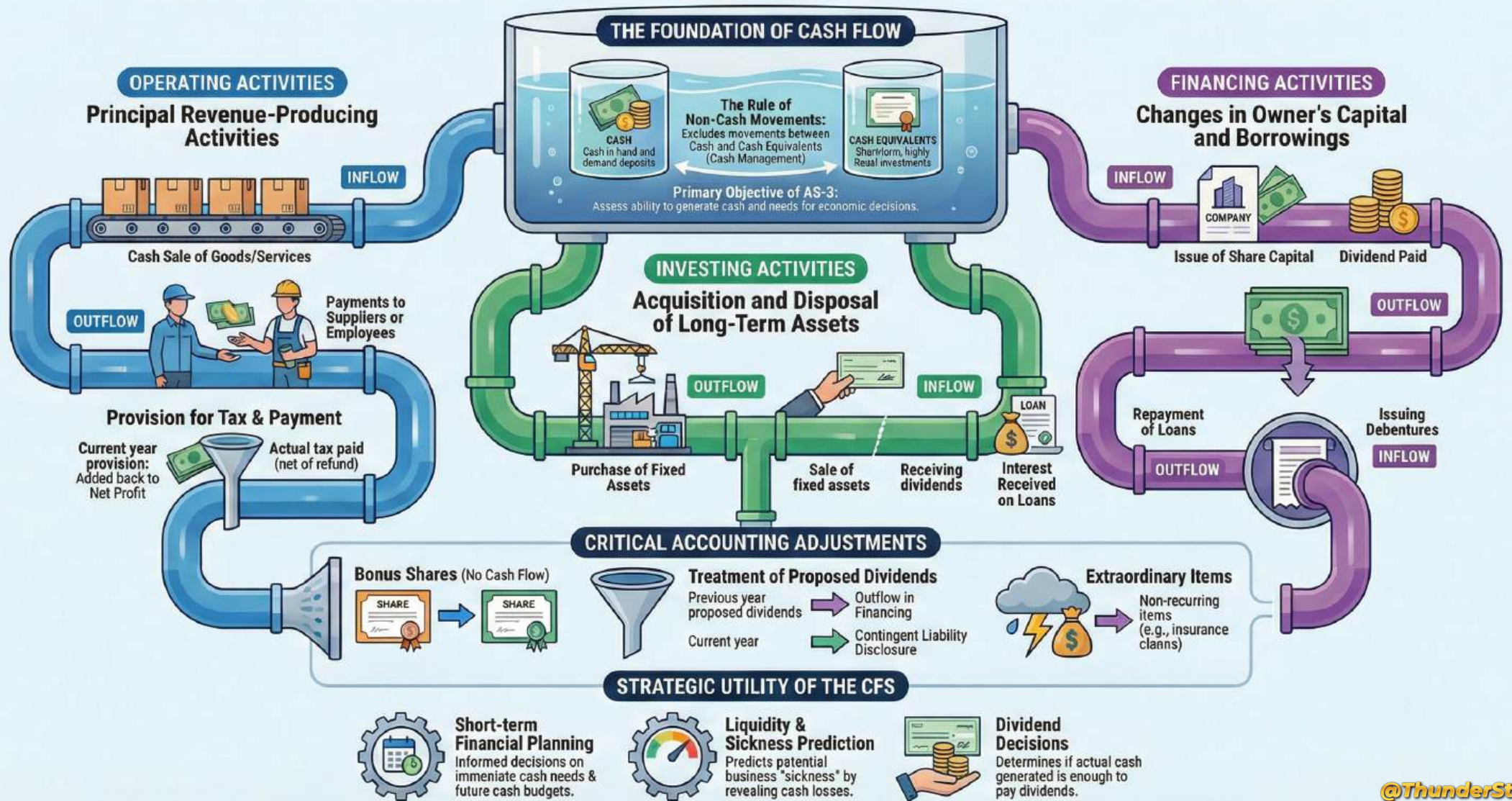
Return on Investment (ROI)

Measures overall profitability by comparing earnings before interest and taxes to capital employed

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A Comprehensive Guide to the Cash Flow Statement (AS-3)

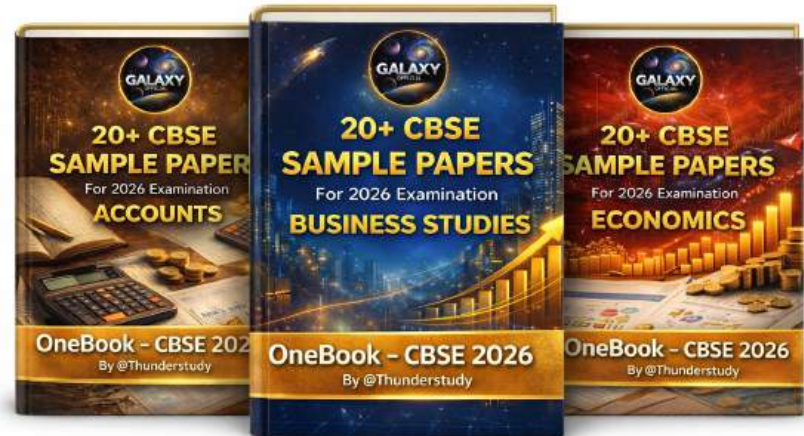


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